IN THE MATTER OF

PENNINGTON INDUSTRIES LIMITED v TREGARTH BEARINGS LIMITED

ADVICE ON THE MERITS

Privileged & Confidential — prepared for the purpose of contemplated litigation

Introduction

1. I am asked to advise Pennington Industries Limited ("Pennington") on the merits of its contemplated claim against Tregarth Bearings Limited ("Tregarth") arising from the supply of TB-7208-HP spindle bearings which have failed prematurely in Pennington's PX-180 and PX-220 pumps, and on the likely level of recovery.

2. I have read the supply documentation, the report of Argent Metallurgical Services dated 16 December 2024, Pennington's failure log and the draft schedule of loss. I am grateful to Whitfield Carter for a clear set of instructions.

The contract and the specification

3. The central legal issue on liability is whether Pennington's specification PEN-ES-4471 Rev C (requiring 60 HRC raceway hardness and a 30,000-hour L10 life) was a term of the contract. The purchase order expressly referred to the specification, and Mr Tovey of Tregarth confirmed in writing on 26 February 2024 that the TB-7208-HP "meets your ES-4471 hardness and life requirements". In my view that exchange, taken with the express reference in the purchase order, makes it more likely than not that the specification was incorporated. Even if I am wrong about express incorporation, Pennington has a strong fallback under sections 14(2) and 14(3) of the Sale of Goods Act 1979: bearings that fail at around 4,100 hours against a reasonable expectation of 30,000 hours are, on any view, neither of satisfactory quality nor fit for purpose.

Breach and causation

4. The metallurgical evidence is, on its face, compelling. A raceway hardness of 52–55 HRC against a requirement of 60 HRC is a material deficiency, and Dr Renwick attributes the failures to sub-surface fatigue spalling driven by that under-hardening. Tregarth's pleaded alternative causes (axial overload, over-temperature, poor lubrication) are answerable: the failures occurred across many pumps, operators and sites, which is difficult to reconcile with localised misapplication. Provided the expert evidence holds up under challenge, I assess Pennington's prospects on liability and causation at around 70–75%.

Quantum

5. The recall and rework head (£1,422,000) and the replacement bearing head (£284,040) are well evidenced and, in my view, recoverable subject to proof of reasonableness. The customer credits/LDs head (£512,000) will require Pennington to show that the sums paid were a reasonable response to its contractual exposure; I would expect some erosion here on assessment. The wasted management time head (£126,000) is the most vulnerable and may be reduced or disallowed if not properly evidenced by contemporaneous records. Taking a realistic view, I would expect recovery in the range £1.9m–£2.3m if liability is established.

Recommendation

6. I advise that the claim be pursued. Pennington should (a) ensure the expert evidence is put on a CPR Part 35 footing without delay; (b) marshal contemporaneous records for the management-time and customer-credit heads; and (c) remain open to a commercial settlement, for which a figure in the region of £1.7m–£1.9m would in my view be a sensible target if offered before trial.

HARRIET STANFORD
Eldon Chambers
20 December 2024